3.8.2 Positioning and competitive advantage

Unit 3.8 Choosing strategic direction · 6 key points

- **Influences on positioning:** strengths and weaknesses of the business, competitors, customers' needs
- **Competitive advantage:** a reason customers choose the business over its rivals
- **Benefits of competitive advantage:** higher sales, higher prices, loyal customers
- **Difficulties of maintaining it:** rivals copy, technology changes, customer tastes change
- **Sustainable advantage:** hard to copy, e.g. patents, strong brand, unique skills
- **Trap:** an advantage only counts if customers value it